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Introduction

A *Guide to the Business Analysis Body of Knowledge® (BABOK® Guide)* is the globally recognized standard for the practice of business analysis. The *BABOK® Guide* describes business analysis knowledge areas, tasks, underlying competencies, techniques and perspectives on how to approach business analysis.

1.1

Purpose of the BABOK® Guide

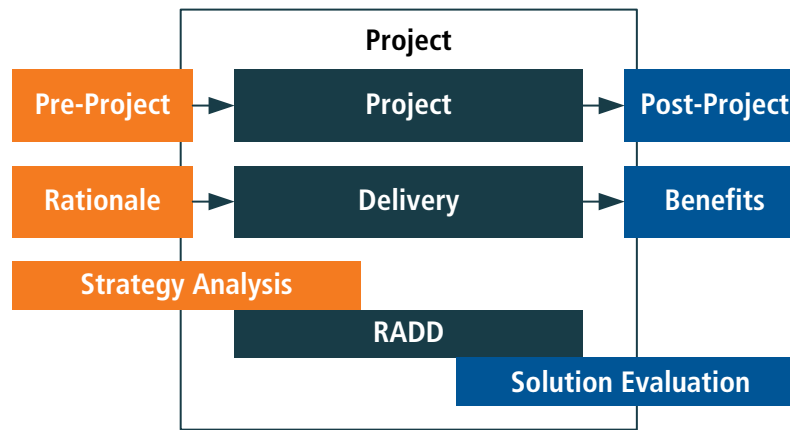
The primary purpose of the *BABOK® Guide* is to define the profession of business analysis and provide a set of commonly accepted practices. It helps practitioners discuss and define the skills necessary to effectively perform business analysis work. The *BABOK® Guide* also helps people who work with and employ business analysts to understand the skills and knowledge they should expect from a skilled practitioner.

Business analysis is a broad profession in which business analysts might perform work for many different types of initiatives across an enterprise. Practitioners may employ different competencies, knowledge, skills, terminology, and attitudes that they use when performing business analysis tasks. The *BABOK® Guide* is a common framework for all perspectives, describing business analysis tasks that are performed to properly analyze a change or evaluate the necessity for a change. Tasks may vary in form, order, or importance for individual business analysts or for various initiatives.

The six knowledge areas of the *BABOK® Guide* (Business Analysis Planning and Monitoring, Elicitation and Collaboration, Requirements Life Cycle Management, Strategy Analysis, Requirements Analysis and Design Definition (RADD), and

Solution Evaluation) describe the practice of business analysis as it is applied within the boundaries of a project or throughout enterprise evolution and continuous improvement. The following image shows how three of the knowledge areas support the delivery of business value before, during, and after the life cycle of a project.

Figure 1.1.1: Business Analysis Beyond Projects



1.2

What is Business Analysis?

Business analysis is the practice of enabling change in an enterprise by defining needs and recommending solutions that deliver value to stakeholders. Business analysis enables an enterprise to articulate needs and the rationale for change, and to design and describe solutions that can deliver value.

Business analysis is performed on a variety of initiatives within an enterprise. Initiatives may be strategic, tactical, or operational. Business analysis may be performed within the boundaries of a project or throughout enterprise evolution and continuous improvement. It can be used to understand the current state, to define the future state, and to determine the activities required to move from the current to the future state.

Business analysis can be performed from a diverse array of perspectives. The *BABOK® Guide* describes several of these perspectives: agile, business intelligence, information technology, business architecture, and business process management. A perspective can be thought of as a lens through which the business analysis practitioner views their work activities based on the current context. One or many perspectives may apply to an initiative, and the perspectives outlined in the *BABOK® Guide* do not represent all the contexts for business analysis or the complete set of business analysis disciplines.

1.3

Who is a Business Analyst?

A business analyst is any person who performs business analysis tasks described in the *BABOK® Guide*, no matter their job title or organizational role. Business analysts are responsible for discovering, synthesizing, and analyzing information

from a variety of sources within an enterprise, including tools, processes, documentation, and stakeholders. The business analyst is responsible for eliciting the actual needs of stakeholders—which frequently involves investigating and clarifying their expressed desires—in order to determine underlying issues and causes.

Business analysts play a role in aligning the designed and delivered solutions with the needs of stakeholders. The activities that business analysts perform include:

- understanding enterprise problems and goals,
- analyzing needs and solutions,
- devising strategies,
- driving change, and
- facilitating stakeholder collaboration.

Other common job titles for people who perform business analysis include:

- business architect,
- business systems analyst,
- data analyst,
- enterprise analyst,
- management consultant,
- process analyst,
- product manager,
- product owner,
- requirements engineer, and
- systems analyst.

1.4

Structure of the BABOK® Guide

The core content of the *BABOK® Guide* is composed of business analysis tasks organized into knowledge areas. Knowledge areas are a collection of logically (but not sequentially) related tasks. These tasks describe specific activities that accomplish the purpose of their associated knowledge area.

The Business Analysis Key Concepts, Underlying Competencies, Techniques, and Perspectives sections form the extended content in the *BABOK® Guide* that helps guide business analysts to better perform business analysis tasks.

- **Business Analysis Key Concepts:** define the key terms needed to understand all other content, concepts, and ideas within the *BABOK® Guide*.
- **Underlying Competencies:** provide a description of the behaviours, characteristics, knowledge, and personal qualities that support the effective practice of business analysis.

- **Techniques:** provide a means to perform business analysis tasks. The techniques described in the *BABOK® Guide* are intended to cover the most common and widespread techniques practiced within the business analysis community.
- **Perspectives:** describe various views of business analysis. Perspectives help business analysts working from various points of view to better perform business analysis tasks, given the context of the initiative.

1.4.1 Key Concepts

The Business Analysis Key Concepts chapter provides a basic understanding of the central ideas necessary for understanding the *BABOK® Guide*.

This chapter consists of:

- Business Analysis Core Concept Model™ (BACCM™)
- Key Terms
- Requirements Classification Schema
- Stakeholders
- Requirements and Design

1.4.2 Knowledge Areas

Knowledge areas represent areas of specific business analysis expertise that encompass several tasks.

The six knowledge areas are:

Each knowledge area includes a visual representation of its inputs and outputs.

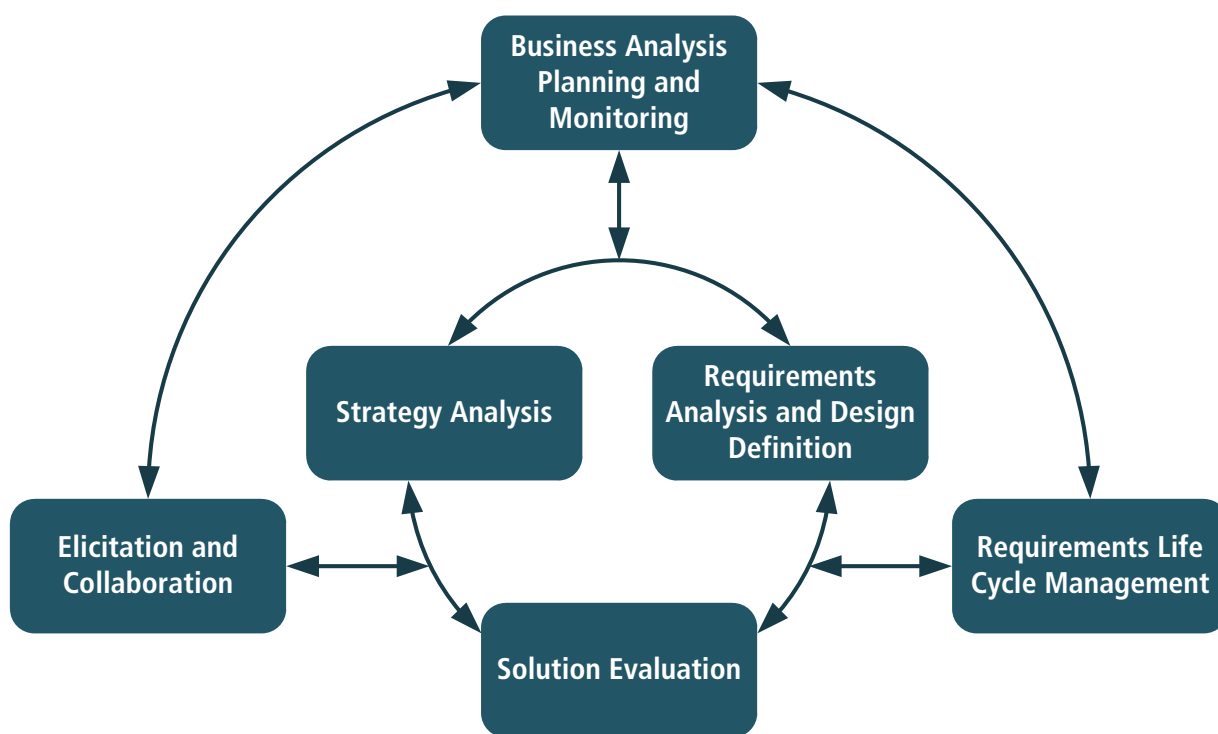
- **Business Analysis Planning and Monitoring:** describes the tasks that business analysts perform to organize and coordinate the efforts of business analysts and stakeholders. These tasks produce outputs that are used as key inputs and guidelines for the other tasks throughout the *BABOK® Guide*.
- **Elicitation and Collaboration:** describes the tasks that business analysts perform to prepare for and conduct elicitation activities and confirm the results obtained. It also describes the communication with stakeholders once the business analysis information is assembled and the ongoing collaboration with them throughout the business analysis activities.
- **Requirements Life Cycle Management:** describes the tasks that business analysts perform in order to manage and maintain requirements and design information from inception to retirement. These tasks describe establishing meaningful relationships between related requirements and designs, and assessing, analyzing and gaining consensus on proposed changes to requirements and designs.
- **Strategy Analysis:** describes the business analysis work that must be performed to collaborate with stakeholders in order to identify a need of strategic or tactical importance (the business need), enable the enterprise to

address that need, and align the resulting strategy for the change with higher- and lower-level strategies.

- **Requirements Analysis and Design Definition:** describes the tasks that business analysts perform to structure and organize requirements discovered during elicitation activities, specify and model requirements and designs, validate and verify information, identify solution options that meet business needs, and estimate the potential value that could be realized for each solution option. This knowledge area covers the incremental and iterative activities ranging from the initial concept and exploration of the need through the transformation of those needs into a particular recommended solution.
- **Solution Evaluation:** describes the tasks that business analysts perform to assess the performance of and value delivered by a solution in use by the enterprise, and to recommend removal of barriers or constraints that prevent the full realization of the value.

The following diagram shows a general relationship between the knowledge areas.

Figure 1.4.1: Relationships Between Knowledge Areas



1.4.3 Tasks

A task is a discrete piece of work that may be performed formally or informally as part of business analysis. The *BABOK® Guide* defines a list of business analysis tasks. The definition of a given task is universally applicable to business analysis efforts, independent of the initiative type. A business analyst may perform other

activities as assigned by their organization, but these additional activities are not considered to be part of the business analysis profession.

Tasks are grouped into knowledge areas. Business analysts perform tasks from all knowledge areas sequentially, iteratively, or simultaneously. The *BABOK® Guide* does not prescribe a process or an order in which tasks are performed. Tasks may be performed in any order, as long as the necessary inputs to a task are present. A business analysis initiative may start with any task, although likely candidates are Analyze Current State (p. 103) or Measure Solution Performance (p. 166).

Each task in the *BABOK® Guide* is presented in the following format:

- Purpose
- Description
- Inputs
- Elements
- Guidelines/Tools
- Techniques
- Stakeholders
- Outputs

.1 Purpose

The Purpose section provides a short description of the reason for a business analyst to perform the task, and the value created through performing the task.

.2 Description

The Description section explains in greater detail what the task is, why it is performed, and what it should accomplish.

.3 Inputs

The Inputs section lists the inputs for the task. Inputs are information consumed or transformed to produce an output, and represent the information necessary for a task to begin. They may be explicitly generated outside the scope of business analysis or generated by a business analysis task. Inputs that are generated outside of the business analysis efforts are identified with the qualifier '(external)' in the input list.

There is no assumption that the presence of an input means that the associated deliverable is complete or in its final state. The input only needs to be sufficiently complete to allow successive work to begin. Any number of instances of an input may exist during the life cycle of an initiative.

The Inputs section includes a visual representation of the inputs and outputs, the other tasks that use the outputs, as well as the guidelines and tools listed in the task.

.4 Elements

The Elements section describes the key concepts that are needed to understand how to perform the task. Elements are not mandatory as part of performing a task, and their usage might depend upon the business analysis approach.

.5 Guidelines and Tools

The Guidelines and Tools section lists resources that are required to transform the input into an output. A guideline provides instructions or descriptions on why or how to undertake a task. A tool is something used to undertake a task.

Guidelines and tools can include outputs of other tasks.

.6 Techniques

The Techniques section lists the techniques that can be used to perform the business analysis task.

.7 Stakeholders

The Stakeholders section is composed of a generic list of stakeholders who are likely to participate in performing that task or who will be affected by it. The *BABOK® Guide* does not mandate that these roles be filled for any given initiative.

.8 Outputs

The Outputs section describes the results produced by performing the task. Outputs are created, transformed, or changed in state as a result of the successful completion of a task. An output may be a deliverable or be a part of a larger deliverable. The form of an output is dependent on the type of initiative underway, standards adopted by the organization, and best judgment of the business analyst as to an appropriate way to address the information needs of key stakeholders.

As with inputs, an instance of a task may be completed without an output being in its final state. Tasks that use a specific output do not necessarily have to wait for its completion for work within the task to begin.

1.4.4 Underlying Competencies

Underlying competencies reflect knowledge, skills, behaviours, characteristics, and personal qualities that help one successfully perform the role of the business analyst. These underlying competencies are not unique to the business analysis profession. However, successful execution of tasks and techniques is often dependent on proficiency in one or more underlying competencies.

Underlying competencies have the following structure:

- Purpose
- Definition
- Effectiveness Measures

.1 Purpose

The Purpose section describes why it is beneficial for business analysts to have this underlying competency.

.2 Definition

The Definition section describes the skills and expertise involved in the application of this competency.

.3 Effectiveness Measures

The Effectiveness Measures section describes how to determine whether a person is demonstrating skills in this underlying competency.

1.4.5**Techniques**

Techniques provide additional information on ways that a task may be performed.

The list of techniques included in the *BABOK® Guide* is not exhaustive. There are multiple techniques that may be applied alternatively or in conjunction with other techniques to accomplish a task. Business analysts are encouraged to modify existing techniques or engineer new ones to best suit their situation and the goals of the tasks they perform.

Techniques have the following structure:

- Purpose
- Description
- Elements
- Usage Considerations

.1 Purpose

The Purpose section describes what the technique is used for and the circumstances under which it is most likely to be applicable.

.2 Description

The Description section describes what the technique is and how it is used.

.3 Elements

The Elements section describes key concepts that are needed to understand how to use the technique.

.4 Usage Considerations

The Usage Considerations section describes the conditions under which the technique may be more or less effective.

1.4.6

Perspectives

Perspectives are used within business analysis work to provide focus to tasks and techniques specific to the context of the initiative. Most initiatives are likely to engage one or more perspectives. The perspectives included in the *BABOK® Guide* are:

- Agile
- Business Intelligence
- Information Technology
- Business Architecture
- Business Process Management

These perspectives do not presume to represent all the possible perspectives from which business analysis is practiced. The perspectives discussed in the *BABOK® Guide* represent some of the more common views of business analysis at the time of writing.

Perspectives are not mutually exclusive, in that a given initiative might employ more than one perspective.

Perspectives have the following structure:

- Change Scope
- Business Analysis Scope
- Methodologies, Approaches, and Techniques
- Underlying Competencies
- Impact on Knowledge Areas

.1 Change Scope

The Change Scope section describes what parts of the enterprise the change encompasses when viewed from this perspective and to what extent it impacts both the objectives and operations of the enterprise. The change scope also identifies the type of problems solved, the nature of the solutions being sought, and the approach to delivering these solutions and measuring their value.

.2 Business Analysis Scope

The Business Analysis Scope section describes the key stakeholders, including a profile of the likely types of sponsors, the target stakeholders, and the business analyst's role within an initiative. It also defines likely outcomes that would be expected from business analysis work in this perspective.

.3 Methodologies, Approaches, and Techniques

The composition of this section is unique to each perspective. In each case it describes the methodologies, approaches, or techniques that are common and specific to the application of business analysis in the perspective. Methodologies

and approaches are specialized ways of undertaking the business analysis work. The techniques included in this section are techniques that are not included in the Techniques chapter of the *BABOK® Guide* but are especially relevant to the perspective.

In the Business Architecture perspective, reference models are listed instead of methodologies or approaches. In the Business Process Management perspective, frameworks are listed instead of approaches.

.4 Underlying Competencies

The Underlying Competencies section describes the competencies that are most prevalent in the perspective.

.5 Impact on Knowledge Areas

The Impact on Knowledge Areas section describes how knowledge areas are applied or modified. It also explains how specific activities within a perspective are mapped to tasks in the *BABOK® Guide*.